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- A. Real-time processing of transactions
C. Reliance on paper-based records and journals
D. Automated generation of financial statements
- B 112. Which of the following statements is true regarding the accuracy of financial reporting in manual and computerized accounting systems?
A. Manual systems are generally more accurate than computerized systems.
B. Computerized systems are generally more accurate than manual systems.
C. Both manual and computerized systems have similar levels of accuracy.
D. The accuracy of financial reporting depends solely on the type of system used.
- B 113. How does the speed of processing transactions differ between manual and computerized systems?
A. Manual systems process transactions faster than computerized systems.
B. Computerized systems process transactions faster than manual systems.
C. Both manual and computerized systems process transactions at the same speed.
D. The speed of processing transactions depends on the complexity of the transaction.
- B 114. How does the level of accuracy in financial reporting differ between manual and computerized accounting systems?
A. Manual systems are generally more accurate than computerized systems.
B. Computerized systems are generally more accurate than manual systems.
C. Both manual and computerized systems have similar levels of accuracy.
D. The accuracy of financial reporting depends on external factors.
- C 115. Green Company's ending inventory is understated 4,000 Birr. The effects of this error on the current year's goods sold and net income, respectively, are:
A. Understated, overstated
B. Overstated, overstated
C. Overstated, understated
D. Understated, understated
- B 116. When preparing a bank reconciliation, bank collections are:
A. Deducted from the bank statement balance.
B. Added to the balance per books.
C. Added to the bank statement balance.
D. Deducted from the balance per books.
- B 117. What is a joint arrangement in accounting?
A. A business owned and operated by a single entity
B. A partnership between two or more entities with shared control
C. A subsidiary controlled by a parent company
D. A government-controlled entity
- B 118. Which of the following statement is true about joint arrangement?
A. They always involve full control by one party
B. They may involve joint control or significant influence
C. They are solely government-controlled entities
D. They are limited to two parties only
- B 119. What is the primary characteristics of a joint control arrangement?
A. Full control by one party
B. Shared decision-making rights
C. Majority ownership by one party
D. Control exercised by a government entity
- B 120. In a joint arrangement, what is joint control?
A. Full control by one party
B. Shared decision-making rights
C. Majority ownership by one party
D. Control exercised by a government entity
- C 121. How are joint arrangements classified under IFRS?
A. Joint control only
B. Significant influence only
C. Joint control or significant influence
D. Sole control by one party
- A 122. What is the main difference between a joint operation and a joint venture under IFRS?
A. A. Joint operations involve significant influence, while joint ventures involve joint control
B. Joint operations involve sole control, while joint ventures involve joint control
C. Joint operations are government-controlled entities, while joint ventures are private entities
D. There is no difference, the terms are used interchangeably
- C 123. What type of arrangement involves sharing control and sharing risks and rewards, but does not results in legal entity?
A. Joint control arrangement
B. Joint venture arrangement
C. Joint operation arrangement
D. Joint entity arrangement
- C 124. Which type of joint arrangement involves joint control and results in a separate legal entity?
A. Joint operation
B. Joint control arrangement
C. Joint venture
D. Joint entity
- B 125. Which type of joint arrangement involves the joint control parties having rights to the assets and obligations liabilities of the arrangements?
A. Joint venture
B. Joint operation
C. Joint control entity
D. Joint entity
- C 126. What is the key characteristic of a joint operation?
A. Separate legal entity
B. Joint control
C. Significant influence
D. Sole control by one party
- C 127. What distinguishes a joint venture from a joint operation?

189. The optimal capital structure, according to the traditional approach, is achieved when:
 A. The cost of debt is minimized.
 B. The cost of equity is minimized.
 C. The weighted average cost of capital (WACC) is minimized.
 D. The earnings per share (EPS) is maximized.
190. Which theory suggests that firms have a preference for internal financing (retained earnings) over external financing?
 A. Modigliani and Miller's Proposition I
 B. Modigliani and Miller's Proposition II
 C. Trade-off theory
 D. Pecking order theory
191. What is the key assumption of Modigliani and Miller's Proposition II without taxes?
 A. The cost of debt is equal to the cost of equity.
 B. The value of the leveraged firm is independent of its capital structure.
 C. Taxes have no impact on the value of the leveraged firm.
 D. Financial distress costs are zero.
192. In the context of financial leverage, what does the term "break-even point" refer to?
 A. The point at which a firm covers all its fixed financial costs.
 B. The point at which a firm covers all its variable costs.
 C. The point at which a firm covers both fixed financial costs and variable costs.
 D. The point at which a firm achieves maximum profitability.
193. According to Modigliani and Miller's Proposition I without taxes, how is the value of a leveraged firm related to its capital structure?
 A. The value of the leveraged firm increases with the use of debt.
 B. The value of the leveraged firm decreases with the use of debt.
 C. The value of the leveraged firm is independent of its capital structure.
 D. The value of the leveraged firm is maximized when there is no debt.
194. According to Modigliani and Miller's Proposition I with taxes, how does the value of a leveraged firm compare to the value of an unleveraged firm?
 A. The leveraged firm is valued higher due to the tax shield on interest payments.
 B. The leveraged firm is valued lower due to the tax shield on interest payments.
 C. The leveraged and unleveraged firms have the same value.
 D. The leveraged firm is valued higher, but taxes do not play a role.
195. What does Modigliani and Miller's Proposition II without taxes state about the relationship between the cost of equity and the use of debt?
 A. The cost of equity increases linearly with the use of debt.
 B. The cost of equity decreases linearly with the use of debt.
 C. The cost of equity is independent of the use of debt.
 D. The cost of equity is inversely proportional to the use of debt.
196. What is the primary source of business risk for a company?
 A. Financial leverage
 B. Interest rate fluctuations
 C. Changes in market demand
 D. Currency exchange rates
197. Which of the following is an example of operational risk?
 A. Changes in interest rates.
 B. Natural disasters
 C. Currency exchange rate fluctuations.
 D. Changes in market demand.
198. In a world without taxes, according to Modigliani and Miller's proposition-I, how does the capital structure affect the value of the firm?
 A. The value is maximized with more debt.
 B. The value is maximized with more equity.
 C. The value is maximized with an equal mix of debt and equity.
 D. The value is irrelevant to the capital structure.
199. How does the market value of equity change in Modigliani and Miller's proposition-II with taxes as the debt-equity ratio increases?
 A. Increases linearly
 B. Decreases linearly
 C. Remains constant
 D. Depends on the corporate tax rate.
200. According to the traditional approach to capital structure, what is the optimal mix of debt and equity?
 A. 50% debt, 50% equity
 B. The mix that maximizes shareholder wealth
 C. The mix that minimizes financial leverage
 D. The mix that minimizes taxes.
201. According to the dividend irrelevance theory, how does the dividend policy of a company affect its stock price?
 A. Dividend policy affects stock price
 B. Dividend policy has no impact on stock price
 C. Stock price depends on earnings only
 D. Stock price depends on the industry
202. How does an increase in the dividend payout ratio impact a company's cost of equity?
 A. Increases the cost of equity
 B. Decreases the cost of equity
 C. Has no impact on the cost of equity
 D. Depends on the dividend yield
203. Which dividend policy is associated with a stable and predictable dividend payout each period?
 A. Constant dividend payout ratio
 B. Residual dividend policy
 C. Regular dividend policy
 D. Irregular dividend policy

- A. A target company with a significant cash reserve
 B. A method of financing acquisitions with cash
 C. A business unit that generates consistent and substantial cash flows
 D. A term for excessive cash compensation in a merger
174. Company P acquires 20% of a company Q for \$300,000. Calculate the goodwill to be recognized if the fair value of company Q's net assets is \$400,000.
 A. \$220,000
 B. \$330,000
 C. \$280,000
 D. \$100,000
175. Proprietary funds include which two types of funds in governmental accounting?
 A. General Fund and Special Revenue Fund
 B. Enterprise Fund and Internal Service Fund
 C. Capital Project Fund and Debt Service Fund
 D. General Revenue Fund and Capital Project Fund
176. What distinguishes enterprise funds from internal service funds in proprietary accounting?
 A. Enterprise Funds serve external users, while Internal Service Funds serve internal users.
 B. Internal Service Funds are for-profit, while Enterprise Funds are not.
 C. Enterprise Funds are only used for long-term capital projects.
 D. Internal Service Funds are restricted to a specific purpose
177. What is a primary function of financial institutions?
 A. Manufacturing goods
 B. Providing financial services
 C. Offering healthcare services
 D. Conducting legal services
178. Which type of financial institution primarily accepts deposits from the public and provides loans?
 A. Commercial bank
 B. Investment bank
 C. Credit union
 D. Insurance company
179. What is the primary function of a central bank in a country's financial system?
 A. Providing consumer loans
 B. Regulating and overseeing monetary policy
 C. Offering investment advisory services
 D. Facilitating international trade
180. What is the primary function of an insurance company?
 A. Providing mortgage loans
 B. Accepting deposits
 C. Managing risks through the sale of insurance policies
 D. Facilitating stock trading
181. What is the primary function of financial markets?
 A. Manufacturing goods
 B. Providing healthcare services
 C. Providing a platform for buying and selling financial assets
 D. Facilitating trade
182. Financial markets facilitates the transfer of:
 A. Goods and services
 B. Financial assets
 C. Manufacturing equipment
 D. Intellectual property
183. The money market is primarily associated with the trading of:
 A. Long-term bonds
 B. Stocks
 C. Short-term debt securities
 D. Real estate
184. What is operating leverage?
 A. The use of debt to increase returns for shareholders.
 B. The degree to which a firm uses fixed costs in its operations
 C. The amount of financial risk associated with a firm's capital structure.
 D. The variability of a firm's earnings before interest and taxes (EBIT) with changes in sales
185. Which capital structure theory emphasizes the relevance of both taxes and bankruptcy costs?
 A. Modigliani and Miller's Proposition I with taxes
 B. Modigliani and Miller's Proposition II without taxes
 C. Trade-off theory
 D. Pecking order theory
186. What does the Break-even point indicate in the context of operating leverage?
 A. The point at which a firm covers all its fixed and variable costs.
 B. The point at which a firm starts making profits.
 C. The point at which a firm achieves its maximum sales.
 D. The point at which a firm becomes bankrupt.
187. According to Modigliani and Miller's Proposition II without taxes, the cost of equity:
 A. Increases with the use of debt.
 B. Decreases with the use of debt.
 C. Remains constant regardless of the capital structure.
 D. Is irrelevant in determining the firm's value.
188. Which of the following is NOT a factor affecting the degree of operating leverage?
 A. Fixed operating costs.
 B. Variable operating costs.
 C. Sales volume.
 D. Financial leverage.

- 9 -
- C. Only the retained earnings account is eliminated
D. Equity accounts are adjusted to fair value, and any excess is recorded as good-will.
258. How are intra-group dividends treated in the consolidated financial statements on the date of acquisition?
A. They are included as part of the parent's revenue.
B. They are eliminated from the consolidated income statement.
C. They are recorded as an expense in the subsidiary's income statement.
D. They are reported as part of the subsidiary's equity.
259. Which of the following methods is used to account for investments in subsidiaries in the consolidated financial statements on the date of acquisition?
A. Equity method
B. Cost method
260. Which of the following methods involves the acquisition of one company by another?
A. Joint venture
B. Merger
C. Fair value method
D. Acquisition method
261. What is a business combination?
A. A merger of two unrelated businesses
B. The acquisition of one business by another
C. Divestiture
D. Liquidation
262. Which one of the following account is not appear on post-closing trial balance?
A. Cash
B. Accounts receivable
C. A collaboration between two companies
D. The dissolution of a business entity
263. A firm had a beginning inventory of birr 20,000; its cost of goods sold was birr 75,000; its sales were birr 140,000. The ending inventory was:
A. Birr 60,000
B. Birr 40,000
C. Accounts payable
D. Rent expense
264. Which of the following is an example of intangible asset?
A. Equipment
B. Patent right
C. Birr 95,000
D. Birr 35,000
265. Net loss will result during a time period when:
A. Assets exceed liabilities
B. Assets exceed revenues
C. Car
D. Building
266. The receipt of cash from customers in payment of their accounts would be recorded by a:
A. Debit to account receivable; credit to cash
B. Debit to cash; credit to accounts payable
C. Expenses exceed revenues
D. Revenues exceed expenses
267. Which of the following is an internal user of accounting information?
A. Creditors
B. Government agencies
C. Debit to accounts payable; credit to cash
D. None of the above
268. Which of the following represents the resources owned by a business?
A. Liabilities
B. Assets
C. Management
D. Investors
269. If a company borrows money from a bank, how does it affect the accounting equation?
A. Assets increase, Liabilities increase
B. Assets decrease, Owner's Equity decreases
C. Owner's Equity
D. Revenue
270. What does the accounting equation demonstrate?
A. The relationship between assets and liabilities
B. The relationship between assets and revenue
C. The relationship between assets, liabilities, and owner's equity
D. The relationship between expenses and revenue
271. In a merger, what happens to the separate legal entities of the companies involved?
A. they are dissolved
B. they remain intact
C. Liabilities decrease, Owner's Equity increases
D. Assets decrease, Liabilities increase
272. Which method of arranging a business combination typically involves a purchase of a controlling interest in another company?
A. merger
B. acquisition
C. divestiture
D. joint venture
273. Which method of arranging a business combination involves two or more companies combining to form a new entity?
A. joint venture
B. merger
C. acquisition
D. divestiture
274. What is a leveraged buyout (LBO)?
A. a method of arranging a business combination
B. the process of selling off assets or subsidiaries
C. a joint venture between competitors
D. the acquisition of a company using a significant amount of debt financing
275. Which method of arranging a business combination involves the acquisition of a company by its own management team with the help of external financing?
A. merger
B. acquisition
C. management buyout (MBO)
D. joint venture
- Handwritten notes on the right side of the page:
- BI = 20,000
 - COGS = 75,000
 - G.P. Profit = 20,000
 - Sales = 140,000
 - Sales = BI + EL
 - 20 + EL
 - G.P. = Sales - COGS
 - 80 = 140 - 60
 - 60 = 140 - 80
- Handwritten formulas and notes:
- Asset = Liability + OE
 - owner's equity
 - Assets = Liabilities + Owner's Equity

156. Which accounting standard provides guidance on business combinations?
 A. IFRS 9
 B. IFRS 3
 C. IAS 16
 D. IAS 38
157. In a hostile takeover, how does the acquiring company gain control of the target company?
 A. Through negotiation and agreement
 B. By purchasing a majority of the target company's stock without its approval
 C. By forming a joint venture
 D. Through a court order
158. In a vertical merger, what is the relationship between the combining companies?
 A. Supplier and customer
 B. Competitors in the same industry
 C. Parent and subsidiary
 D. Unrelated businesses
159. What is the primary reason for recognizing deferred tax liabilities and assets?
 A. To minimize current income tax payable
 B. To smooth out fluctuations in income tax expense
 C. To comply with tax regulations
 D. To adjust financial statements to tax accounting.
160. Deferred tax liabilities are recognized when:
 A. Taxable income exceeds book income
 B. Tax expense is greater than book income
 C. Tax rates decrease
 D. Tax expense is less than book income
161. How are deferred tax assets and liabilities affected when a temporary difference becomes permanent?
 A. Deferred tax assets decrease; deferred tax liabilities increase
 B. Deferred tax assets increase; deferred tax liabilities decrease
 C. Deferred tax assets are eliminated; deferred tax liabilities remain unchanged
 D. Deferred tax liabilities are eliminated; deferred tax assets remain unchanged.
162. What is the primary objective of share-based compensation?
 A. To reduce the company's tax liability
 B. To align the interests of employees with those of shareholders
 C. To increase earnings per share
 D. To comply with regulatory requirements.
163. Which of the following is a common form of share-based compensation?
 A. Bonuses
 B. Retirement plans
 C. Stock options
 D. Overtime pay
164. What is a bearer plant in agricultural accounting?
 A. Plants that bear fruits or nuts
 B. Plants that do not produce any agricultural produce
 C. Plants used for landscaping purposes
 D. Plants in the early stages of development.
165. How are costs related to the initial recognition of a bearer plant typically accounted for?
 A. Recognized at historical cost.
 B. Recognized at fair value
 C. Recognized at net realizable value
 D. Ignored in financial statements until harvest.
166. Which accounting standard provides guidance on the accounting for bearer plants?
 A. IAS 41 - Agriculture
 B. IFRS 9 - Financial Instruments
 C. IAS 16 - Property, Plant and Equipment
 D. IFRS 15 - Revenue from Contracts with Customers.
167. How is the fair value of a bearer plant determined for accounting purposes?
 A. Historical cost minus accumulated depreciation
 B. Market value on the reporting date
 C. Original purchase cost
 D. Net realizable value at harvest
168. What is the main purpose of accounting for bearer plants in financial statements?
 A. Compliance with tax regulations
 B. Providing information about the entity's agricultural assets
 C. Reducing the complexity of financial reporting
 D. Minimizing depreciation expenses.
169. What is the primary characteristic of bearer plants in agricultural accounting?
 A. Annual production
 B. Multiple periods of produce
 C. Short lifespan
 D. Non-fruit-bearing
170. What is the role of the acquirer in a business combination?
 A. Maintain separate legal entities
 B. Assume control over the acquiree
 C. Allow the acquiree to operate independently
 D. Act as a passive investor
171. In a business combination, what is negative goodwill also known as?
 A. Bargain purchase gain
 B. Intangible asset
 C. Fair value adjustment
 D. Contingent consideration
172. What is the primary motive for a conglomerate merger?
 A. Synergy
 B. Diversification
 C. Cost reduction
 D. Market dominance
173. What is a "cash cow" in the context of business combination?

C 204. How is the Net Realizable value (NRV) calculated for inventory?

- A. Cost - Market Value
- B. Selling Price - Selling Costs

- C. Cost - Estimated Selling Price
- D. Market Value - Selling Costs

B 205. In the context of LCNRV, when is the write-down of inventory necessary?

- A. When the historical cost exceeds the replacement cost
- B. When the estimated selling price is less than the original cost
- C. When the market value is higher than the selling price
- D. When the historical cost is lower than the net realizable value

D 206. Which of the following is the main purpose of applying LCNRV to inventory?

- A. Maximize reported profit
- B. Minimize tax liability
- C. Maintain historical cost accuracy
- D. Ensure inventory is fairly presented on the balance sheet

B 207. Which of the following best defines a business combination?

- A. a transaction where one company purchases another company's shares
- B. a transaction where two or more companies merge to form a new entity
- C. a transaction where a company acquires control over another company
- D. a transaction where companies engage in joint ventures for a specific project

A 208. What is the primary objective of a business combination?

- A. to eliminate competition in the market
- B. to increase the number of shareholders in the acquiring company
- C. to achieve synergies and enhance shareholder value
- D. to comply with regulatory requirements

B 209. Which accounting method is commonly used to account for business combinations?

- A. cost method
- B. equity method
- C. fair value method
- D. historical cost method

B 210. When should a business combination be accounted for using the acquisition method?

- A. when the acquiring company purchases less than 20% of the target company's shares
- B. when the acquiring company gains control over the target company
- C. when the target company's shareholders retain control after the transaction
- D. when the business combination involves a merger of equals

A 211. How is goodwill calculated in a business combination?

- A. it is the excess of the fair value of consideration transferred over the fair value of the identifiable net assets acquired
- B. it is the difference between the historical cost of the target company and the fair value of consideration transferred
- C. it is the difference between the market value of the acquiring company's shares and the market value of the target company's shares
- D. it is the amount paid by the acquiring company to the target company's shareholders

B 212. Which of the following statements is true regarding the treatment of transaction costs in a business combination?

- A. transaction costs are capitalized as part of the cost of the acquisition
- B. transaction costs are expensed as incurred in the period in which they are accrued
- C. transaction costs are treated as part of goodwill calculation
- D. Transaction costs are excluded from the accounting for the business combination

$Acq > FV \rightarrow GW$

D 213. Under the equity method, how does the acquiring company account for its investment in the acquired company?

- A. by recognizing the fair value of the acquired company's assets and liabilities
- B. by recording its share of the acquired company's profits or losses in its income statement
- C. by consolidating the financial statements of the acquiring and acquired companies
- D. by recognizing the acquired company's assets and liabilities at historical cost

B 214. Which of the following is a reason for conducting a business combination?

- A. to reduce the size of the acquiring company
- B. to eliminate competition in the market
- C. to achieve economies of scale and scope
- D. to maintain separate operations and identities

C 215. How is non-controlling interest (NCI) treated in a business combination?

- A. NCI is recorded as a liability on the acquiring company's balance sheet
- B. NCI is recorded as part of goodwill on the acquiring company's balance sheet
- C. NCI is recorded as a separate equity item on the acquiring company's balance sheet
- D. NCI is recorded as revenue on the acquiring company's income statement

C 216. Which of the following is not a method of business combination?

- A. merger
- B. acquisition
- C. joint venture
- D. Consolidation

B 217. What is a common defense mechanism used by target companies to resist hostile takeovers?

- A. poison pill
- B. white knight
- C. golden parachute
- D. crown jewel

A 218. Which defense mechanism involves issuing new shares of stock to existing shareholders, diluting the acquirer's ownership stake?

- A. greenmail
- B. pac-man defense
- C. golden handshake
- D. crown jewel

- A. Joint ventures involve shared control, while joint operations involve unilateral control
 B. Joint ventures always have three or more parties involved, while joint operations involve only two parties
 C. Joint ventures are only recognized under local accounting standards, while joint operations are recognized under international accounting standards
 D. Joint ventures are limited to specific industries, while joint operations can occur across various industries
128. XYZ Ltd has a 30% ownership interest in a joint venture. How should XYZ account for its investment in the joint venture under the equity method if the joint venture reports a profit of \$100,000?
 A. Recognize \$30,000 as revenue in XYZ's income statement
 B. Recognize \$100,000 as revenue in XYZ's income statement
 C. Recognize \$30,000 as a reduction in the carrying amount of the investment
 D. Recognize \$100,000 as an increase in the carrying amount of the investment
129. What is the purpose of the post-closing trial balance?
 A. To ensure that debits equal credits after closing entries are made
 B. To verify the accuracy of closing entries
 C. To prepare financial statements
 D. To analyze transactions before closing the books for the period
130. Which account is not closed at the end of the accounting period?
 A. Revenue accounts
 B. Expense accounts
 C. Dividend accounts
 D. Asset accounts
131. Which of the following accounts is classified as a liability?
 A. Accounts Receivable
 B. Prepaid Rent
 C. Accounts Payable
 D. Equipment
132. ABC Ltd. purchased equipment for Birr 800,000 by issuing a promissory note. Which accounts are affected by this transaction?
 A. Equipment increases; Notes Payable increases
 B. Equipment increases; Cash increases
 C. Equipment decreases; Notes Receivable decreases
 D. Equipment decreases; Cash decreases
133. If a company records Birr 20,000 in depreciation expense for the period, which accounts are affected?
 A. Depreciation Expense increases; Accumulated Depreciation decreases
 B. Depreciation Expense decreases; Accumulated Depreciation decreases
 C. Depreciation Expense increases; Accumulated Depreciation increases
 D. Depreciation Expense decreases; Accumulated Depreciation increases
134. Which costing method assigns fixed overhead costs to products?
 A. Variable costing
 B. Activity-based costing
 C. Standard costing
 D. Absorption costing
135. Which cost changes in direct proportion to changes in the volume of production?
 A. Direct costs
 B. Indirect costs
 C. Variable costs
 D. Fixed costs
136. What is the formula for contribution margin?
 A. Sales revenue - variable costs
 B. Gross profit - fixed costs
 C. Operating income - sales revenue
 D. Cost of goods sold - operating expenses
137. Which of the following is an example of a fixed cost?
 A. Direct labor
 B. Raw materials
 C. Property taxes
 D. Packaging materials
138. What is the difference between absorption costing and variable costing?
 A. Absorption costing assigns all manufacturing costs to products, while variable costing assigns only variable costs
 B. Absorption costing is used for internal decision-making, while variable costing is used for financial reporting
 C. Absorption costing provides a more accurate picture of product costs, while variable costing provides a better measure of profitability
 D. Absorption costing is used for long-term planning, while variable costing is used for short-term decision-making
139. If a company records Birr 30,000 in prepaid insurance, which accounts are affected?
 A. Prepaid Insurance increases; Cash decreases
 B. Prepaid Insurance increases; Insurance Expense increases
 C. Prepaid Insurance decreases; Cash increases
 D. Prepaid Insurance decreases; Insurance Expense increases
140. If a company pays rent for the current month, which accounts are affected?
 A. Rent Expense increases; Cash decreases
 B. Rent Expense decreases; Cash decreases
 C. Rent Expense increases; Accounts Payable decreases
 D. Rent Expense increases; Accounts Payable increases

219. What does a white knight defense entail?
 A. the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 B. the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 C. the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 D. the target company's management threatens to resign en masse if the acquisition proceeds.
220. What is the purpose of a capital projects fund?
 A. To pay off government debt
 B. To fund ongoing operations and services
 C. To fund specific projects or programs that involve construction, acquisition, or improvement of major capital facilities or infrastructure
 D. To support political campaigns
221. Which of the following funds is used to account for the acquisition, construction, and maintenance of infrastructure assets?
 A. Enterprise fund
 B. Internal service fund
 C. General fund
 D. Capital projects fund
222. What is the main objective of International Public Sector Accounting Standards (IPSAS)?
 A. To harmonize financial reporting standards across all public sector entities globally
 B. To provide guidelines for anti-corruption and transparency in public sector entities
 C. To ensure that public sector entities have consistent and fair accounting practices
223. What is the primary purpose of the cash basis IPSAS?
 A. To provide a framework for financial reporting based on accrual accounting principles
 B. To provide guidance on how cash should be accounted for within a public sector entity
 C. To ensure compatibility with the accrual basis IPSAS
224. Which of the following is NOT one of the Pillars of IPSASB's conceptual framework?
 A. Accountability
 B. Transparency
 C. Control
 D. Comparability
225. Which of the following is NOT one of the components of Financial Statements as per IPSAS?
 A. Balance Sheet
 B. Statement of Financial Performance
 C. Statement of Cash Flows
 D. Statement of Assets and Liabilities
226. Which of the following is NOT an IPSAS requirement for presentation of financial statements?
 A. Proper classification, presentation and disclosure of information
 B. Disclosure of major components of net worth
 C. Disclosure of contingent liabilities
 D. Disclosure of revenue forecasts
227. What does a white knight defense entail?
 A. the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 B. the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 C. the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 D. the target company's management threatens to resign en masse if the acquisition proceeds.
228. Which defense mechanism involves the target company making itself less attractive by taking on excessive debt or engaging in unfavorable financial transactions?
 A. crown jewel
 B. poison pill
 C. scorched earth
 D. golden handshake
229. Which of the following is a characteristic of a merger?
 A. both companies maintain their separate identities.
 B. one company purchases another company's shares.
 C. the fair value of consideration transferred is recorded as goodwill.
 D. shareholders of the merged companies receive shares in the new entity.
230. What is the primary difference between a merger and an acquisition?
 A. in a merger, both companies maintain their separate identities, while in an acquisition, one company gains control over the other.
 B. in a merger, one company purchases another company's shares, while in an acquisition, both companies combine to form a new entity.
 C. in a merger, goodwill is recognized as an asset, while in an acquisition, it is not.
 D. in a merger, the fair value of consideration transferred is recorded as goodwill, while in an acquisition, it is not.
231. Company A acquires 80% of the outstanding shares of company B, gaining control over its operations. Which accounting method is most appropriate for company A to use to account for this business combination?
 A. cost method
 B. equity method
 C. fair value method
 D. historical cost method
232. Company X merges with company Y to form a new entity, company Z. How should company Z account for the merger according to accounting standards?
 A. Recognize the fair value of assets and liabilities acquired from both company X and company Y.
 B. Recognize the historical cost of assets and liabilities acquired from both company X and company Y.
 C. Recognize the book value of assets and liabilities acquired from both company X and company Y.
 D. Consolidate the financial statements of company X and company Y without any adjustments.

245. When a company has a foreign subsidiary, which of the following exchange rates is typically used to transfer the subsidiary's financial statements into the reporting currency?
 A. historical exchange rate
 B. average exchange rate
 C. spot exchange rate
 D. forward exchange rate

246. Company A, based in the United States, purchases inventory from a supplier in Europe for €100,000. The exchange rate at the time of purchase is 1 EUR = 1.2 USD. Subsequently, when the payment is made, the exchange rate has changed to 1 EUR = 1.3 USD. What amount should company A record as the cost of inventory in USD?
 A. \$100,000
 B. \$120,000
 C. \$130,000
 D. \$108,333.33

247. Company X, based in the United States, sells goods to a customer in Japan for ¥10,000,000. The exchange rate at the time of sale is 1 USD = 110 JPY. When the payment is received, the exchange rate has changed to 1 USD = 108 JPY. What amount should company X record as revenue in USD?
 A. \$90,909.09
 B. \$91,743.12
 C. \$92,592.59
 D. \$100,000

248. Company A, based in Canada, purchases equipment from a supplier in the United States for \$50,000 USD. The exchange rate at the time of purchase is 1 USD = 1.25 CAD. When the payment is made, the exchange rate has changed to 1 USD = 1.30 CAD. What amount should company A record as the cost of equipment in CAD?
 A. \$62,500
 B. \$65,000
 C. \$40,000
 D. \$48,000

249. Company X, based in the United States, receives a dividend payment of €50,000 from its subsidiary in Europe. The exchange rate at the time of receipt is 1 EUR = 1.1 USD. What amount should company X record as dividend income in USD if the exchange rate has changed to 1 EUR = 1.2 USD when the payment is deposited?
 A. \$55,000
 B. \$50,000
 C. \$45,454.55
 D. \$40,000

250. Company X, based in the United States, pays interest on a loan to a bank in Europe. The interest payment is €12,000, and the exchange rate at the time of payment is 1 EUR = 1.2 USD. What amount should company X record as the interest expense in USD?
 A. \$12,000
 B. \$10,000
 C. \$8,333.33
 D. \$14,000

251. Which of the following statements is true regarding the preparation of consolidated financial statements on the date of acquisition?
 A. Only the assets and liabilities of the subsidiary are included.
 B. Only the equity method is used to account for the subsidiary.
 C. The parent's and subsidiary's financial statements are combined using the acquisition method.
 D. The parent's financial statements remain separate from the subsidiary's.

252. When preparing consolidated financial statements on the date of acquisition, how are intercompany transactions treated?
 A. Eliminated in full.
 B. Recorded as revenue for the subsidiary.
 C. Ignored completely.
 D. Included in the parent's income statement.

253. How is goodwill calculated in the consolidated financial statements on the date of acquisition?
 A. It is calculated as the excess of the fair value of the subsidiary's identifiable net assets over the consideration transferred.
 B. It is calculated as the excess of the subsidiary's net income over the parent's net income.
 C. It is calculated as the difference between the subsidiary's book value and the fair value of its net assets.
 D. It is calculated as the difference between the parent's book value and the fair value of its investment in the subsidiary.

254. Which financial statements are consolidated on the date of acquisition?
 A. Only the income statements.
 B. Only the balance sheets.
 C. Both the income statements and balance sheets.
 D. Neither the income statements nor the balance sheets.

255. In the consolidated financial statements on the date of acquisition, how are unrealized profits on inventory...

245. When a company's subsidiary's financial statements are prepared, the subsidiary's financial statements should be prepared on the same basis as the parent's financial statements. Which of the following is true regarding the reporting of gains or losses due to changes in exchange rates in the income statement?

A. They are always reported as operating expenses.
 B. They are reported as part of other comprehensive income.
 C. They are recorded directly in retained earnings.
 D. They are disclosed in the footnotes to the financial statements.

233. Company A enters into a joint venture with company B to develop a new product. How should company A account for its investment in the joint venture?

A. Using the equity method
 B. Using the fair value method
 C. Using the cost method
 D. Using the historical cost method.

234. Company X purchases 100% of the outstanding shares of company Y, gaining control over its operations. Which of the following statements is true regarding the accounting treatment of this acquisition?

A. Goodwill is recognized as the difference between the purchase price and the book value of company Y's assets and liabilities.
 B. Goodwill is not recognized in a 100% acquisition.
 C. Goodwill is recognized if the acquisition price exceeds the fair value of company Y's identifiable net assets.
 D. Goodwill is recognized only if the acquisition price is less than the fair value of company Y's identifiable net assets.

235. Company A acquires 70% of the outstanding shares of company B, gaining significant influence over its operations. Which accounting method is most appropriate for company A to use to account for this investment?

A. Fair value method
 B. Equity method
 C. Historical cost method
 D. Cost method.

236. Company A acquires 100% of the outstanding shares of company B in a business combination. How should the non-controlling interest (NCI) be presented in the consolidated financial statements?

A. As a liability on the balance sheet
 B. As a separate line item in the equity section of the balance sheet
 C. As revenue in the income statement
 D. As an expense in the income statement.

237. Company A acquires 80% of the outstanding shares of company B on January 1, 2021, for \$800,000. On that date, the fair value of company B's identifiable net assets is \$750,000. What amount of goodwill should be reported in the consolidated financial statements on the date of acquisition?

A. \$50,000
 B. \$200,000
 C. \$640,000
 D. \$800,000.

238. On the date of acquisition, company A determines that the fair value of company B's identifiable net assets is \$500,000, while the consideration transferred is \$550,000. How should the excess of consideration transferred over the fair value of identifiable net assets be treated in the consolidated financial statements?

A. Recognized as an expense in the income statement
 B. Recorded as an asset on the balance sheet
 C. Recognized as goodwill on the balance sheet
 D. Distributed to shareholders as dividends.

239. Company A acquires 90% of the outstanding shares of company B for \$700,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$500,000. What is the amount of goodwill reported in the consolidated balance sheet on the date of acquisition?

A. \$500,000
 B. \$700,000
 C. \$200,000
 D. \$450,000.

240. Company X acquires 80% of the outstanding shares of company Y for \$800,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$600,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?

A. \$600,000
 B. \$640,000
 C. \$800,000
 D. \$920,000.

241. Company X acquires 85% of the outstanding shares of company Y for \$800,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$700,000. What is the goodwill reported in the consolidated balance sheet on the date of acquisition?

A. \$800,000
 B. \$50,000
 C. \$100,000
 D. \$205,000.

242. Company A acquires 100% of the outstanding shares of company B for \$1,000,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$900,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?

A. \$900,000
 B. \$1,000,000
 C. \$1,100,000
 D. \$1,200,000.

243. Company A acquires 80% of the outstanding shares of company B for \$800,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$700,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?

A. \$700,000
 B. \$800,000
 C. \$940,000
 D. \$1,000,000.

244. Which of the following statements is true regarding the reporting of gains or losses due to changes in exchange rates in the income statement?

A. They are always reported as operating expenses.
 B. They are reported as part of other comprehensive income.
 C. They are recorded directly in retained earnings.
 D. They are disclosed in the footnotes to the financial statements.

Choose the best answer from the given alternatives

Time Allowed 3hrs

Cost and Management Accounting -II

1. Unit Contribution margin is calculated as the difference between:
 - A. Selling price and fixed cost per unit
 - B. Selling price and variable cost per unit
 - C. Selling price and product cost per unit
 - D. Fixed cost per unit and product cost per unit
2. Which of the following would produce the largest increase contribution margin per unit?
 - A. A 7% increase in selling price
 - B. A 15% decrease in selling price
 - C. A 14% increase in variable cost
 - D. A 17% decrease in fixed cost
3. At a volume of 15,000 units, ABC company reported sales revenue of Birr 600,000, variable cost of Birr 225,000, and fixed cost of Birr 120,000. The company contribution margin per unit is?
 - A. Birr 17
 - B. Birr 25
 - C. Birr 47
 - D. Birr 55
4. Which of the following expressions can be used to calculate break-even point with the contribution-margin ratio (CMR)?
 - A. $CMR / \text{Fixed cost}$
 - B. $CMR \times \text{Fixed Cost}$
 - C. $\text{Fixed cost} / CMR$
 - D. $\text{Fixed cost} + CMR$
5. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. Based on the given data, as if you are manager of Angla Burger, answer question from. What is the contribution margin per unit?
 - A. Birr 440
 - B. Birr 160
 - C. Birr 300
 - D. Birr 140

19. One of XY Company's products has a contribution margin of Birr 50,000 and Fixed costs totaling Birr 60,000. If the product is dropped, Birr 40,000 of the fixed costs will continue unchanged. As a result of dropping the product, what will happen to the company's operating income?
- A. Decrease to Birr 50,000
 - B. Increase to Birr 30,000
 - C. Decrease to Birr 30,000
 - D. Increase to Birr 10,000
20. Which of the following is not a characteristic of relevant costing information? It is ____
- A. Associated with the decision under consideration
 - B. Significant to the decision maker
 - C. Readily determined from financial records
 - D. Related to future endeavor
21. A fixed cost is relevant if it is ____
- A. Uncontrollable
 - B. Avoidable
 - C. Sunk
 - D. A product cost
22. If a cost is irrelevant to a decision, the cost could not be:
- A. A sunk cost
 - B. A future cost
 - C. A variable cost
 - D. An incremental cost
23. Which is the mostly likely purpose of budgeting?
- A. Planning and control of an organization's income and expenditure
 - B. Preparation of a five-year business plan
 - C. Company valuation
 - D. Assess the non-financial performance of an organization
24. A master budget usually includes:
- A. An operating budget
 - B. A capital budget
 - C. Pro-forma financial statements
 - D. All of the above
25. ____ budget is the most important budget and it forms the basis on which all the other budgets are built up (the first part of the master budget).
- A. Production budget
 - B. Sales budget
 - C. Cash budget
 - D. Material Budget
26. A master budget consists of:
- A. Individual budgets made for short-term goals
 - B. Emphasis is put on cash resources for capital planning
 - C. Interrelated budgets for an action plan for a specific time period
 - D. Focuses on review of progress towards long-term goals
27. M company produces hand balls. For March, budgeted sales are 12,000 units of balls, beginning finished goods inventory will be 1,200 units of balls, and ending finished goods inventory will be 1,400 units. March production will be?
- A. 10,900 units of balls
 - B. 11,800 units of balls
 - C. 12,200 units of balls
 - D. 14,600 units of balls
28. M company produces hand balls. Budgeted sales will be: March 12,000 units, April 14,000, May 16,000 and June 19,000. Ending finished goods inventory policy is 20% of the following month's sales. March 1 inventory is projected to be 1,500 units. Based on the give data, how many units will be produced in March?
- A. 11,900 units
 - B. 13,300 units
 - C. 13,000 units
 - D. 14,800 units

- 160
300
6. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. Based on the given data, as if you are manager of Angla Burger, answer question from. What is the contribution margin percentage?
- A. 53.33%
B. 46.67%
C. 68.18%
D. 31.81%
7. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. Based on the given data, as if you are manager of Angla Burger, answer question from. The amount profit that the company will generate, if it sold 100,000 units.
- A. Birr 14,800,000
B. Birr 30,000,000
C. Birr 15,880,000
D. Birr 14,000
8. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. Based on the given data, as if you are manager of Angla Burger, answer question from. Find the breakeven point in unit and Amount.
- A. 700 units and Birr 220,000
B. 800 units and Birr 300,000
C. 730 units and Birr 222,014
D. 750 units and Birr 225,014
9. Which is/are true about CVP analysis?
- A. It helps managers to understand the relationships among cost, volume, and profit.
B. It helps managers to know what products and services to offer, what pricing policy to follow, what marketing strategy to employ
C. It used to know what basic cost structure to use.
D. All are true about CVP analysis
10. At Break-even point:
- A. Contribution margin great than Fixed cost
B. Contribution margin equal to fixed cost
C. Total revenue equal to total costs
D. All except A
11. Awash company has break sales of 30,000 units and earns after -tax income of Birr 70,000 at sales of 55,000 units. The company has subject to a 30% income tax rate. Based on the given information, which of the following is true?
- A. The fixed costs are Birr 120,000
B. The contribution margin at 60,000 units is Birr 420,000
C. Selling price per unit is Birr 4
D. Profit Before-taxes at sales of 100,000 units is Birr 300,000

$$BEP: \frac{FC}{cm}$$

$$\frac{120,000}{160}$$

$$\frac{160}{300}$$

12. Relevant costs are:
- A. All fixed and variable costs
 - B. All costs that would be incurred within the relevant range of production
 - C. Past costs that are expected to be different in the future
 - ☒ D. Anticipated future costs that will differ among various alternatives
13. A cost not relevant to deciding whether to purchase a new machine is:
- A. The cost of the new machine
 - B. Lower maintenance costs for the new machine
 - ☒ C. The cost of the old machine
 - D. Additional training required for operating the new machine
14. A cost incurred in the past that cannot be changed by any future action is:
- ☒ A. Sunk cost
 - B. Opportunity cost
 - C. Relevant cost
 - D. Avoidable cost
15. ABC Company is trying to decide if they should an old machine with a new machine. The following data was analyzed. The purchase of a new machine would have what effect on net income?

Cost savings per year on new machine	Birr 100,000
New Machine cost	Birr 150,000
Revenue from sales of old machine	Birr 10,000
Book value of old machine	Birr 25,000

- A. Net decrease of Birr 15,000
 - B. Net Increase of Birr 15,000
 - ☒ C. Net decrease of Birr 40,000
 - D. Net Increase of Birr 40,000
16. ABC company can make 1,000 units of equipment with the following costs:

Direct materials	Birr 70,000
Direct Labor	26,000
Variable overhead	15,000
Fixed overhead	15,000

The company can purchase the 1,000 units equipment externally for Birr 125,000. The avoidable fixed costs are Birr 5,000 if the units are purchased externally. What is the cost saving if the company makes the equipment?

- ☒ A. Birr 1,000
 - B. Birr 5,000
 - C. Birr 9,000
 - D. Birr 10,000
17. Which one of the following statements is false?
- A. Information is relevant if it is pertinent to a decision problem
 - B. Relevant information has a bearing on the future
 - C. Sunk costs are irrelevant to decision problems
 - ☒ D. Opportunity costs are irrelevant to decision problems
 - E. Relevant and accurate data are of value only if they are timely
18. Which one of the following can be describe as data that are pertinent to a decision?
- A. Qualitative characteristics
 - B. Accurate information
 - ☒ C. Relevant information
 - D. Timely information
 - E. Sunk cost data

Public Finance and Taxation

60. Which one of the following is not a characteristics of tax
- A. It is a Compulsory Contribution
 - ☒ B. Benefit is the Basic Condition
 - C. Personal Obligation
 - D. Common Interest
61. Which of the following is true of public finance?
- ☒ A. it deals with the problems of adjustment of income and expenditure of the government
 - B. concerned with Rising of necessary funds for incurring government expenditure
 - C. it is an issue that deals with politics, economics and social matters of a state
 - D. all
62. One is not the source of non-tax revenue:
- ☒ A. the dividends & profits from public undertakings
 - B. revenue through confiscation of personal property
 - C. Grant & loan proceeds
 - D. printing of currencies
63. Which is the main objective of a tax?
- A. Increase in consumption
 - B. Increase in production
 - ☒ C. Raising public revenue
 - D. Reduction in capital formation
64. Public finance has to do with all of the following activities of the government except
- A. Stabilization activities
 - B. Allocation activities
 - ☒ C. Competition with private sector
 - D. Distribution activities
65. Which of the following is true of public finance?
- ☒ A. it deals with the problems of adjustment of income and expenditure of the government
 - B. concerned with Rising of necessary funds for incurring government expenditure
 - C. it is an issue that deals with politics, economics and social matters of a state
 - D. all
66. Which of the following state/s Adam smith's canon of equality?
- A. A good tax system should be based on the ability to pay of the people
 - B. Every state must contribute toward the support of the Government in proportion to their abilities.
 - C. A good tax should distribute the burden of supporting government more or less equally among all those who benefit from government.
 - D. A & B
 - ☒ E. All of the above

- ☒ A. The external financing required to support growth
 - B. The amount of retained earnings in a company
 - C. The company's inventory turnover
 - D. The amount of taxes owed to the government
53. Which of the following best describes spontaneous financing?
- ☒ A. Financing that arises automatically from business operations, such as trade credit
 - B. A company's planned long-term investment strategy
 - C. A company's external equity financing
 - D. The use of short-term loans for expansion
54. If a firm needs external financing, which of the following is NOT a potential source?
- A. Bank loans
 - ☒ B. Retained earnings
 - C. Issuing corporate bonds
 - D. Selling additional shares of stock
55. Which financial statement is most useful for forecasting external financial needs?
- A. Pro forma balance sheet
 - B. Statement of retained earnings
 - ☒ C. Statement of cash flows
 - D. Notes to financial statements
56. Which of the following is a limitation of financial forecasting?
- A. It provides an exact prediction of future financial needs
 - ☒ B. It eliminates business risks completely
 - C. It depends on assumptions that may change over time
 - D. It only applies to nonprofit organizations
57. Dividend is paid when
- A. when there is loss to company
 - B. It eliminates business risks completely
 - ☒ C. It is paid out of profits
 - D. It only applies to nonprofit organizations
58. Which of the following is an example of spontaneous financing?
- ☒ A. Issuing new equity shares
 - B. Trade credit from suppliers
 - C. Long-term loans
 - D. Retained earnings
59. What is the formula for Additional Funds Needed (AFN)?
- A. $AFN = \text{Total Assets} - \text{Total Liabilities}$
 - ☒ B. $AFN = (\text{Assets}/\text{Sales}) \times \text{Change in Sales} - (\text{Liabilities}/\text{Sales}) \times \text{Change in Sales} - \text{Net Profit Margin} \times \text{Retained Earnings Ratio} \times \text{Sales}$
 - C. $AFN = (\text{Equity}/\text{Sales}) \times \text{Net Income}$
 - D. $AFN = (\text{Revenue} - \text{Expenses}) \times \text{Interest Rate}$

35. A company with a negative working capital might face:
- ☒ A. Difficulty in paying short-term liabilities
 - ☐ B. High profitability
 - ☐ C. Excess liquidity
 - ☐ D. Strong financial position
36. The "cash conversion cycle" is a measure of:
- ☐ A. How quickly a company can convert its working capital into revenue
 - ☐ B. The time taken to convert current assets into cash
 - ☒ C. How efficiently a company uses its long-term assets
 - ☐ D. The time taken to pay off long-term debt
37. Which of the following is a potential disadvantage of having too much working capital?
- ☐ A. Increased profitability
 - ☐ B. Lower liquidity
 - ☒ C. Inefficient use of resources
 - ☐ D. Higher long-term debt
38. Under the fair value method of accounting for marketable securities, which of the following is TRUE?
- ☐ A. Securities are reported at their amortized cost
 - ☐ B. Changes in fair value are recognized in other comprehensive income
 - ☒ C. Securities are not adjusted for market value fluctuations
 - ☐ D. Unrealized gains and losses are recognized in the income statement
39. Which of the following is an example of a marketable security?
- ☐ A. Real estate property
 - ☐ B. Treasury bills
 - ☐ C. Fixed assets
 - ☐ D. Business goodwill
40. A company's decision to classify marketable securities as "trading securities" rather than "available-for-sale" primarily reflects its intention to:
- ☐ A. Hold them until maturity
 - ☐ B. Sell them in the short term to take advantage of price fluctuations
 - ☒ C. Report them at cost rather than market value
 - ☐ D. Hold them for long-term investment with little risk of liquidation
41. The primary difference between the FIFO (First-In, First-Out) and LIFO (Last-In, First-Out) inventory methods is:
- ☐ A. FIFO assigns the most recent costs to the cost of goods sold, while LIFO assigns the earliest costs
 - ☐ B. FIFO assigns the oldest costs to the cost of goods sold, while LIFO assigns the most recent costs
 - ☐ C. LIFO uses market value, while FIFO uses historical costs
 - ☒ D. FIFO results in higher reported profits when prices are rising, while LIFO results in lower profits
42. In the context of inventory management, the term "stockout" refers to:
- ☐ A. An excess of inventory that cannot be sold
 - ☐ B. The cost of ordering and receiving inventory
 - ☐ C. A situation where there is no inventory available to meet demand

87. Which one of the following is/are allowable deduction/s for rental income taxpayers who maintain books and records?

- A. Insurance premium paid on insurance of building
- B. Repairs and maintenance expenses actually incurred
- C. Depreciation on building as per income tax proclamation
- D. The entire above
- E. None of the above

50. A business plans to make 15,000 coats per annum, each taking the 1.5 direct labor hours. If the direct labour rate is Birr 8 per hour and a pay rise of 15% is awarded halfway through the year, what is the total annual direct labour budget?

- A. Birr 120,000
- ☒ B. Birr 193,500
- C. Birr 180,000
- D. Birr 207,000

- D. A product that has been over-ordered and is not needed
43. The primary disadvantage of the Economic Order Quantity (EOQ) model is:
- A. It does not account for inventory holding costs
 - ☒ B. It assumes constant demand and ordering costs
 - C. It is too complex for small businesses to implement
 - D. It requires continuous monitoring of inventory levels
44. Which of the following is TRUE about the cost of capital for long-term debt compared to equity?
- ☒ A. The cost of long-term debt is generally higher than the cost of equity due to higher risk
 - B. The cost of long-term debt is lower than the cost of equity because interest is tax-deductible
 - C. The cost of equity is easier to calculate than the cost of debt
 - D. The cost of long-term debt is influenced by the equity market's risk premium
45. What is the primary function of inventory management in an organization?
- A. To track employee performance
 - ☒ B. To ensure the right quantity and quality of goods are available at the right time
 - C. To determine the pricing of products
 - D. To manage cash flow
46. Which financial ratio measures a company's degree of financial leverage?
- A. Current ratio
 - B. Return on assets (ROA)
 - ☒ C. Debt-to-equity ratio
 - D. Gross profit margin
47. Which type of leverage considers both operating and financial leverage together?
- ☒ A. Combined leverage
 - B. Operating leverage
 - C. Financial leverage
 - D. Degree of solvency
48. If a company has no debt, its financial leverage is:
- A. Zero
 - ☒ B. Positive
 - C. Negative
 - D. Infinite
49. If a company has no debt, its financial leverage is:
- A. Zero
 - ☒ B. Positive
 - C. Negative
 - D. Infinite
50. What is the first step in financial forecasting?
- ☒ A. Preparing financial statements
 - B. Estimating tax payments
 - C. Analyzing past financial data and trends
 - D. Determining dividend payout ratios
51. Which of the following factors affect external financial needs?
- ☒ A. Business growth rate and profitability
 - B. The company's office location
 - C. The number of employees in a company
 - D. The color of a company's logo
52. The additional funds needed (AFN) formula is used to estimate:

141. In a merchandising business, which of the following represents the primary source of revenue?
 A. Investments
 B. Sales of goods
 C. Service fees
 D. Interest income
142. Company P and company Q jointly control a manufacturing facility. How should the joint arrangement be classified under IFRS?
 A. Joint venture
 B. Joint operation
 C. Equity method
 D. Consolidation
143. Company X has 40% ownership interest in a joint venture. If the joint venture reports a loss of \$50,000, how should company X account for its share of these loss under the equity method?
 A. Recognize \$20,000 as a reduction in the carrying amount of the investment
 B. Deduct \$50,000 from the investment account
 C. Ignore the loss until future profits offset it
 D. Record the loss only when dividends are received
144. Company A sells a portion of its interest in a joint venture to company B. How should this transaction be accounted for under the equity method?
 A. Record a gain or loss on the sale and adjust the investment account
 B. Recognize the transaction as revenue in the income statement
 C. No accounting treatment is required for the sale of the interest
 D. Record the transaction as an extraordinary item in the financial statements
145. How is a sales agency different from a branch operation in accounting?
 A. Sales agencies and branch operations are synonymous terms.
 B. A sales agency is an independent entity, while a branch operation is a part of the main entity.
 C. A branch operation is an independent entity, while a sales agency is a part of the main entity.
 D. There is no difference; the terms are used interchangeably
146. In accounting for a branch operation, how are revenues and expenses typically treated?
 A. Included in the main entity's financial statements
 B. Accounted for separately from the main entity
 C. Ignored in the financial statements
 D. Treated as extraordinary items
147. What is the primary accounting method used for branch operation?
 A. Equity method
 B. Consolidation method
 C. Cost method
 D. Segment reporting method
148. How intercompany transactions between the main entity and its branch are usually accounted for?
 A. Ignored in the financial statements
 B. Recorded as revenue for the branch
 C. Eliminated in consolidation
 D. Recorded as an extraordinary item
149. In a sales agency arrangement, who typically has control over decision-making and operations?
 A. The main entity
 B. The sales agency
 C. Both entities share control
 D. Independent third parties
150. In the context of branch and home office accounting, what does "consolidation" refers to?
 A. Combining the financial statements of the branch and home office.
 B. Eliminating intercompany transactions in the financial statements.
 C. Recognizing the branch's equity separately in the consolidated financial statements.
 D. Ignoring the financial statements of the branch in the consolidation process.
151. When preparing consolidated financial statements, what does an eliminating intercompany transaction involve?
 A. Recognizing intercompany transactions as revenue.
 B. Adjusting the financial statements to remove transactions between the branch and home office.
 C. Ignoring the impact of intercompany transactions.
 D. Treating intercompany transactions as extraordinary items
152. What primary method of arranging a business combination where one company acquires another through the purchase of its net assets?
 A. Merger
 B. Consolidation
 C. Acquisition
 D. Joint venture
153. Which method of business combination involves the creation of a new entity to which the combining companies transfer their net assets?
 A. Merger
 B. Consolidation
 C. Amalgamation
 D. Purchase method
154. In a statutory merger, what happens to the combining companies?
 A. They continue to exist as separate legal entities
 B. They dissolve, and a new entity is formed
 C. They become subsidiaries of a new parent company
 D. They enter into a joint venture agreement
155. In a leveraged buyout (LBO), how is the acquisition financed?
 A. Through stock issuance
 B. With funds borrowed against the target company's assets
 C. Through government grants
 D. By issuing bonds

LBO - A type of acquisition in which business loan on the vast majority of buying of business